

RAGHU VAMSI MACHINE TOOLS PRIVATE LIMITED
Corporate Social Responsibility Policy

1. Objective:

The main objective of the Corporate Social Responsibility Policy (CSR Policy) is to lay down guidelines for Corporate Social Responsibility Activities of Raghu Vamsi Machine Tools Private Limited ('The Company').

2. Philosophy and Vision of the Company on CSR:

The policy on Corporate Social Responsibility (CSR) is adopted by the Company to align its philosophy to initiate measures and pursue socially useful programmes with the objectives and activities of CSR envisaged and incorporated in the Companies Act, 2013 and the rules made thereunder. This policy has been adopted by the Board of Directors at its meeting held on 31st May, 2021. The terms, rules and regulations mentioned in this policy are as per Companies Act, 2013 and the rules made thereunder. The Board may amend or modify this CSR policy as and when necessary. This policy shall be effective with immediate effect.

The Company will do its best to follow the requirements of the Companies Act, 2013 on the CSR obligation in letter and spirit.

3. Definitions:

'Board' means the Board of Directors of the Company.

'CSR or Corporate Social Responsibility' means and includes but is not limited to:

- i. Projects or programs relating to activities specified in Schedule VII of the Companies Act, 2013; or
- ii. Projects or programs relating to activities undertaken by the Company in pursuance of the Board as per this policy.

'The Company' means Raghu Vamsi Machine Tools Private Limited.

'Net Profit' means the net profit of the company as per its financial statement prepared in accordance with the applicable provisions of the Companies Act, 2013 (previously the Companies Act, 1956), but shall not include the following, namely:

- (i) any profit arising from any overseas branch or branches of the Company or otherwise, and
- (ii) any dividend received from other companies in India, which are covered under and complying with the provisions of Section 135 of the Companies Act, 2013.

Words and expression used in this policy and not defined herein but defined under the Companies Act, 2013 shall have the meanings respectively assigned to them therein.

4. Constitution, Composition and Activities/ Implementation of CSR Committee:

If the CSR amount to be spent by the company does not exceed fifty lakh rupees, the requirement to constitute of the Corporate Social Responsibility Committee shall not apply to the Company and the Board of Directors of the Company shall discharge the functions of the CSR Committee

The Board of Directors of the Company shall ensure the constitution of Corporate Social Responsibility (CSR) Committee in line with the provisions of Section 135 of the Companies Act, 2013 and Rules made thereunder whenever the same becomes applicable to the Company.

5. Role of the board:

The Board of Directors shall:

- Ensure that it allocates at least 2% of its average net profits of the preceding three financial years toward CSR Activities.
- Ensure that projects undertaken under CSR Key Focus area are consistent with CSR Vision.
- Review CSR policy from time to time to align the same with the amendments in the Companies Act, 2013 and Rules made thereunder.
- To regularly monitor implementation of the CSR policy
- To identify new areas and projects for CSR Activities and to establish and ensure a monitoring mechanism is in place to track the progress of each project.
- To carry out any other activities as may be necessary to achieve CSR Vision.

6. CSR Key Focus Area:

➤ Education:

Promoting education, including special education and employment enhancing vocational skills especially among children, women, elderly, and the differently abled and livelihood enhancement projects.

➤ Environment Sustainability:

- a. Ensuring environmental sustainability ecological balance, protection of flora and fauna, animal welfare, agroforestry, conservation of natural resources and maintaining quality of soil, air and water including contribution to the Clean Ganga Fund set-up by the Central Government for rejuvenation of river Ganga;
- b. Protection of national heritage, art and culture including restoration of buildings and sites of historical importance and works of art; setting up public libraries; promotion and development of traditional arts and handicrafts.

➤ Medical and other Welfare:

- a. Providing medical relief and rehabilitation to communities who either don't have access to quality health care or cannot afford it;

- b. Eradicating hunger, poverty and malnutrition, promoting preventive health care and sanitation and making available safe drinking water including contribution to the Swachh Bharat Kosh set-up by the Central Government for the promotion of sanitation and making available safe drinking water;
 - c. Promoting gender equality, empowering women, setting up homes and hostels for women and orphans, setting up old age homes, day care centres and such other facilities for senior citizens and measures for reducing inequalities faced by socially and economically backward groups;
 - d. Measures for the benefit of armed forces veterans, war widows and their dependents, Central Armed Police Forces (CAPF) and Central Paramilitary Forces (CPMF) veterans, and their dependents including widows;
 - e. Training to promote rural sports, nationally recognized sports, Paralympics sports and Olympic sports;
- Contribution to the Prime Minister's/ Chief Minister's Relief Fund or Prime Minister's Citizen Assistance and Relief in Emergency Situations Fund (PM CARES Fund) or any other fund set up by the Central/State Government for socio-economic development and relief and welfare of the Scheduled Castes, the Scheduled Tribes, other backward classes, minorities and women;
 - Contribution to incubators or research and development projects in the field of science, technology, engineering and medicine, funded by the Central Government or State Government or Public Sector Undertaking or any agency of the Central Government or State Government; and
 - Contributions to public funded Universities; Indian Institute of Technology (IITs); National Laboratories and autonomous bodies established under Department of Atomic Energy (DAE); Department of Biotechnology (DBT); Department of Science and Technology (DST); Department of Pharmaceuticals; Ministry of Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homoeopathy (AYUSH); Ministry of Electronics and Information Technology and other bodies, namely Defense Research and Development Organisation (DRDO); Indian Council of Agricultural Research (ICAR); Indian Council of Medical Research (ICMR) and Council of Scientific and Industrial Research (CSIR), engaged in conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs).
 - Rural development projects
 - **Slum area development.**
Explanation – for the purposes of this item, the term 'slum area' shall mean any area declared as such by the Central Government or any State Government or any other competent authority under any law for the time being in force.
 - **Emergencies and Natural Calamities**
The company shall provide relief, support, rehabilitation and reconstruction, in case of natural calamities or emergencies.

Provided that, the CSR projects and programs or activities that benefit only the employees of the Company and their relatives shall not be considered as CSR activities.

7. CSR fund & CSR surplus:

The company shall allocate at least 2% of its average net profits of the preceding three financial years for CSR Key focus area.

The surplus generated out of CSR Activities shall be used only for CSR Key focus area.

The unspent CSR amount, if any, shall be transferred by the Company to any fund included in Schedule VII of the Companies Act, 2013.

8. Operation of CSR activities:

The company will undertake CSR projects/activities independently or contribute to registered trusts, societies, NGOs or Section 8 Companies with objectives similar to and consistent with CSR policy. The Company may take steps to actively encourage employee volunteering. This will enable employees to be privy to the social realities of the country and to contribute to make a positive difference to the society.

9. Disclaimer

- a) The activities undertaken by the Company in pursuance of its normal course of business shall not be considered as CSR activities.
- b) The surplus arising out of the CSR projects or programs or activities shall not form part of the business profits of the Company.
